then you would be missing out on one of the most favourable modes of investment. My sincere advice would be to catch the bull by the horns. Confront the problem rather than run away from it. Try to understand why this happens to most people instead of wondering why it is happening to you. Here is my story.

During the IT bubble I too found myself bewildered and confused. The valuations of the dotcom businesses and IT stocks seemed highly inflated. Pundits in the market and the media were pontificating on the "new economy" and giving convoluted justifications for what appeared to be sheer insanity. I wondered, was the entire world mad and I the only one left sane, or was I insane and the world perfectly rational?

I had a client who had invested around Rs. 70 lakhs in different IT stocks in 1998 on his friend's recommendation. In 1999, his portfolio value was around Rs.3 crores. When he asked for my advice I told him to sell as I thought that the PE multiples were very high and the valuations seemed far too stretched. He did not do so and six months later when we met he informed me that the portfolio value was around Rs.6 crores. Once again he asked me what he should do. I was a bit embarrassed by the question, as I knew that he was not asking for advice but telling me indirectly that I was not in sync with the markets. I still insisted that he sell but he did not. Sometime later the portfolio value went up to Rs.8 crores.

This was the frustration I had to go through, of being in the investment business and not being able to advise clients correctly. There were times I had sleepless nights fearing that the world was going too fast for me to understand. I doubted my abilities, my competencies and my knowledge. The inability to understand the madness added to the frustration. In fact, I lost quite a few clients as they thought that I was too conservative and not in tune with the new economy.

To find an answer to this question I did some serious soul searching. My quest led to a fledgling, little known field called Behavioural Finance. This is where anthropology meets economics, and psychology intersects finance. Untaught in MBA curriculum across the world, it remains the domain of a few gurus and special interest groups.